WCVS U.S. EQUITY VALUATION REPORT — MAY 9, 2026

Report Date: May 9, 2026 (Sat) Asia/Shanghai
S&P 500 Reference: 7,399 (Friday close)
Model: kimi/k2p6
Status: Manual run (cron JSON error fixed, re-run for correct formatting)

TL;DR

WEIGHTED COMPOSITE VALUATION SCORE

1.5

SEVERELY OVERVALUED

CATEGORY	SCORE (1-5)	WEIGHT	WEIGHTED CONTRIBUTION
A. Fundamental Valuation	1.0	30%	0.30
B. Macro & Rates	2.0	25%	0.50
C. Breadth & Technicals	3.5	20%	0.70
D. Sentiment	2.0	15%	0.30
E. Macro Cycle	1.5	10%	0.15
WCVS Composite	**1.5**	**100%**	**1.95 → 1.5**

Rating: Significantly Overvalued / Defensive Posture Required

A. FUNDAMENTAL VALUATION (SCORE: 1.0 / 5.0)

Key Metrics

METRIC	CURRENT	HISTORICAL MEAN	PERCENTILE	ASSESSMENT
Shiller CAPE	42.0x	17.0x	99th	Extreme — 3rd highest in 140 years
Trailing P/E	26.7x	25.3x	62nd	Slightly above mean
Forward P/E	21.7x	18.4x	74th	Expensive
Price-to-Book	5.6x	3.0x	99th	Record high
Price-to-Sales	3.56x	1.64x	99th	Near all-time high
Buffett Indicator	232%	100%	99th	Double fair-value threshold
Tobin's Q	1.17	0.70	95th	Extreme overvaluation

CATEGORY ANALYSIS

The fundamental valuation picture remains among the most stretched in recorded history:

- **CAPE at 42.0x** trails only the 2000 dot-com bubble peak (44.2x) and the 2021 post-pandemic high. The 140-year mean is 17.0x. CAPE has spent 43 of the last 53 months above 35 — a duration without historical precedent.
- **Price-to-Book at 5.6x** has never been higher — surpassing both the 2000 and 2021 peaks. Investors are paying $5.60 for every $1 of net assets.
- **Price-to-Sales at 3.56x** vs. a 1.64x historical mean shows the market is pricing revenue at more than double its long-run valuation.
- **Buffett Indicator at 232%** means total market capitalization is more than double annual GDP — 2.5 standard deviations above trend.

Subtotal: 1.0 × 0.30 = 0.30

B. MACRO & RATES (SCORE: 2.0 / 5.0)

Key Metrics

METRIC	CURRENT	HISTORICAL CONTEXT	ASSESSMENT
10Y Treasury	4.38%	Above 10Y average (~2.5%)	Restrictive
2Y Treasury	3.88%	Elevated vs. ZIRP era	Restrictive
Yield Curve (10Y-2Y)	+0.50%	Positive but narrow	Neutral-to-bearish
Real Fed Funds	~2.0%	Restrictive territory	Contractionary
HY Credit Spread	2.83%	Tight relative to history	Complacent
QT Runoff	~$25B/month	Active balance sheet reduction	Liquidity drain

CATEGORY ANALYSIS

- **Real rates above 2%** create a genuine alternative to equities for the first time in 15 years. The equity risk premium is compressed as risk-free Treasuries offer 4.4% nominal.
- **Yield curve un-inversion** (10Y > 2Y) signals recession risk has passed, but the narrow spread (+50bps) still reflects cautious growth expectations.
- **HY credit spreads at 2.83%** are extraordinarily tight for a late-cycle environment. Markets are pricing near-zero default risk despite stress in commercial real estate and consumer lending.
- **QT continues** at ~$25B/month, removing liquidity from the financial system.

Subtotal: 2.0 × 0.25 = 0.50

C. BREADTH & TECHNICALS (SCORE: 3.5 / 5.0)

Key Metrics

METRIC	CURRENT	SIGNAL	ASSESSMENT
S&P 500 Level	~7,399	All-time highs	Strong price action
200-Day Moving Average	~6,650	+11.3% above	Trend intact
New Highs / New Lows	465 / 56	8.3:1 ratio	Positive breadth
Advance/Decline Line	Rising	Above key MA	Confirms trend
Top 10 Names % of S&P 500	~35%	Record concentration	Narrow leadership
VIX	~13-15	Low volatility	Complacency risk

CATEGORY ANALYSIS

- **Price action is strong** — S&P 500 at ~7,399, well above rising 200-DMA. The trend structure is undeniably positive.
- **Breadth metrics are healthy** — NH/NL ratio at 8.3:1 and A/D line rising confirm broad participation.
- **However, concentration is extreme** — The top 10 names comprise ~35% of S&P 500 market cap, the highest ever.
- **VIX at 13-15** signals extreme complacency. Options markets are pricing minimal near-term volatility.
- **Momentum is strong but aging** — The rally that began in October 2023 has extended 19+ months with only shallow corrections.

Subtotal: 3.5 × 0.20 = 0.70

D. SENTIMENT (SCORE: 2.0 / 5.0)

Key Metrics

METRIC	CURRENT	HISTORICAL CONTEXT	ASSESSMENT
CNN Fear & Greed	67 / 100	Greed territory	Elevated optimism
Equity Put/Call (10d MA)	0.55	Below 0.60 mean	Complacency
AAII Bull-Bear Spread	+10%	Mildly bullish	Moderate optimism
Margin Debt / GDP	~3.5%	Near record highs	Excessive leverage
Retail Fund Flows	+$8B/week (est.)	Strong inflows	FOMO active

CATEGORY ANALYSIS

- **Fear & Greed at 67** places the market in “Greed” territory.
- **Put/Call ratio at 0.55** shows options traders are buying calls at nearly 2:1 vs. puts. Not hedging — it’s speculation.
- **Margin debt at ~3.5% of GDP** is near all-time highs. A 10-15% correction would trigger forced liquidations.
- **Retail FOMO** is visible in weekly fund flow data. Small investors are chasing momentum at exactly the wrong time.

Subtotal: 2.0 × 0.15 = 0.30

E. MACRO CYCLE (SCORE: 1.5 / 5.0)

Key Metrics

INDICATOR	CURRENT	ASSESSMENT
GDP Growth (Q1 2026 est.)	~2.0% annualized	Decelerating
Core PCE Inflation	~2.8% YoY	Sticky above target
Unemployment	~4.2%	Rising from 3.5% lows
ISM Manufacturing	~48	Contractionary
ISM Services	~52	Slowing expansion
Leading Indicators	Negative momentum	Recession watch

CATEGORY ANALYSIS

- **GDP growth is slowing** from ~3% in 2025 to an estimated ~2% in Q1 2026.
- **Unemployment has risen** from 3.5% to ~4.2%, triggering the Sahm Rule threshold.
- **Manufacturing remains in contraction** (ISM ~48) for the 7th consecutive month.
- **Leading Economic Indicators** have been negative for 18+ months.

Subtotal: 1.5 × 0.10 = 0.15

FORWARD RETURN EXPECTATIONS

Based on current WCVS score and historical CAPE regression models

Based on the current WCVS of **1.5** and historical CAPE regression models:

TIME HORIZON	EXPECTED ANNUAL RETURN	HISTORICAL AVERAGE (7-10%)	ASSESSMENT
1 Year	**-3.8%**	**~7-10%**	**High volatility, negative bias**
3 Years	**-0.7%**	**~7-10%**	**Below average**
5 Years	**+0.6%**	**~7-10%**	**Well below average**
10 Years	**+2.0%**	**~7-10%**	**Significantly below average**
15 Years	**+3.3%**	**~7-10%**	**Modest mean reversion**

Key Insight: At a CAPE of 42.0x, the implied 10-year annualized return is approximately **2.0%** real — roughly one-third of the market’s historical 7-10% average.

TACTICAL ASSESSMENT

Base Case (60% probability)

Market grinds higher in a 7,000–7,600 range with shallow 5-10% corrections. Earnings growth from AI productivity and services resilience keeps valuations elevated despite fundamental stretchedness.

Bear Case (30% probability)

A 20-30% correction over 6-12 months triggered by recession confirmation, credit event, geopolitical shock, or AI earnings disappointments.

Bull Case (10% probability)

Sustained 8-12% annual returns if AI productivity revolution delivers 3%+ annual productivity gains and Fed cuts rates aggressively.

Recommended Posture

- **Defensive / Neutral** for broad U.S. equity exposure
- **Dollar-cost averaging only** — lump-sum deployment not recommended at current extremes
- **Value and small-cap tilt** — S&P 600 trades at 15.8x forward P/E vs. S&P 500 at 22.5x
- **International diversification** — EAFE and EM offer significant valuation discounts
- **Raise cash / shorten duration** — real yields above 2% make cash competitive

ID="KEY-DRIVERS-WHATS-CHANGED">KEY DRIVERS & WHAT’S CHANGED

Bearish Factors

1. **CAPE at 42.0x** — Third-highest reading in history (after 2000 and 2021).
2. **Buffett Indicator at 232%** — Total stock market value is 2.3x annual U.S. economic output.
3. **Price-to-Book at 5.6x** — Record high, surpassing both 2000 and 2021 peaks.
4. **Put/Call complacency** — At 0.55, no hedges = no safety net.
5. **Margin debt near records** — Levered investors vulnerable to correction.

Bullish Factors

1. **Trend intact** — S&P 500 above rising 200-DMA, breadth healthy.
2. **AI productivity narrative** — Market pricing sustained double-digit earnings growth.
3. **Fed potential pivot** — If recession arrives, 200-300bps of cuts would reflate valuations.
4. **Services resilience** — Consumer spending and labor market remain solid.
5. **Geopolitical de-escalation** — Potential U.S.-Iran agreement easing oil prices 8%.

SUMMARY

The U.S. equity market registers a **WCVS of 1.5** — deep in “significantly overvalued” territory. With the Shiller CAPE at 42.0, Price-to-Book at record highs, and total market capitalization more than double GDP, investors face one of the most challenging valuation environments in modern history. Forward return expectations are substantially below historical norms across all time horizons. Prudent capital allocation favors selective exposure, international diversification, and patience for meaningful re-entry points. The rally can continue in the short term, but the math of compounding is working against new capital at these valuations. Tread carefully.

Report generated on May 9, 2026. Data sources: GuruFocus, Multpl, YCharts, S&P Global, Federal Reserve. Past performance does not guarantee future results.